Grade 11 Geography

4. 🌍 Globalisation

Learning Guide

🧠 1. What is Globalisation?

- **Globalisation** refers to the increasing **connections between countries**.
- These connections have grown because of improvements in:
  - **Transport**
  - **Telecommunication systems**
- Globalisation has also been supported by the **reduction of barriers to international trade**.

📌 **Key idea:** Globalisation makes countries, economies and people more connected to one another.

🌍 2. The Global Village

- The term **global village** describes the idea that the world seems to be becoming **smaller** because of globalisation.
- People can share:
  - **Ideas**
  - **Cultures**
  - **Resources**
- This can happen without people physically travelling from one country to another.
- Globalisation reduces the importance of the traditional barriers of **time and space**.

📌 **Key idea:** Improved communication allows people in different parts of the world to interact almost as if they lived in one community.

💱 3. Economic Integration

- **Economic integration** refers to the **free movement of goods and services between countries**.
- It involves the removal or reduction of **trade barriers**.
- This often benefits **MEDCs**, increasing their influence in the global economy.

📌 **Key idea:** Economic integration connects national economies by making trade easier.

🏢 4. Multinational Corporations (MNCs)

- **Multinational corporations** are large companies that operate across different countries.
- They are **very powerful economically**.
- MNCs can influence **government trade decisions**.
- They are mainly based in **MEDCs**.
- MEDCs control much of global trade despite making up a relatively small percentage of the world's population.

📌 **Key idea:** MNCs play a major role in globalisation because they connect production, investment and trade across countries.

✅ 5. Advantages of Globalisation

1. Economic Growth

- Access to larger markets can increase:
  - Trade
  - Economic growth

2. Cultural Exchange

- Encourages the sharing of:
  - Ideas

- Customs
- Cultural practices

3. Access to Technology
- Technology and innovation can spread more easily between countries.

4. Improved Communication
- Communication technology connects people across the world.

5. Education Opportunities
- Global institutions and programmes can create more educational opportunities.

6. Investment Opportunities
- Globalisation can attract **foreign investment**.
- Investment can strengthen local economies.

7. Innovation
- Increased competition and collaboration encourage new ideas and technologies.

8. Improved Standards of Living
- Economic development may contribute to higher living standards.

9. Peace and Security
- Greater economic dependence between countries may reduce the likelihood of conflict.

10. Access to Goods and Services
- Consumers can access a wider variety of products and services from around the world.

📌 **Key idea:**

Globalisation may increase trade, investment, technology and consumer choice.

❌ 6. Disadvantages of Globalisation

1. Economic Disparity
- Globalisation may increase the gap between **rich and poor countries**.

2. Cultural Homogenisation
- Local cultures and traditions may be weakened or lost.

3. Loss of Jobs
- Jobs may be moved or **outsourced** to countries where labour is cheaper.

4. Environmental Degradation
- Increased industrial activity can harm the environment.

5. Exploitation of Labour
- Workers in developing countries may experience:
  - Low wages
  - Poor working conditions

6. Dependency
- Countries may become too dependent on:
  - Foreign economies
  - Multinational corporations

7. Loss of Sovereignty
- National governments may lose some control over their own economic policies.

8. Inequality
- The benefits of globalisation may not be distributed equally.

9. Cultural Clashes
- Increased interaction between different cultures may result in misunderstandings and conflict.

10. Financial Instability
- Financial problems in one part of the world may have effects in many other countries.

📌 **Key idea:** Globalisation creates opportunities, but the benefits and costs are not shared equally.

📊 7. Advantages vs Disadvantages of Globalisation

Advantages	Disadvantages
Economic growth	Economic disparity
Cultural exchange	Cultural homogenisation
Access to technology	Job losses
Improved communication	Environmental degradation
Education opportunities	Labour exploitation
Foreign investment	Dependency
Innovation	Loss of sovereignty
Improved living standards	Inequality
Peace and security	Cultural clashes
Wider range of goods/services	Financial instability

🚢 8. Export-Led Development

- **Export-led development** is an economic approach used by some **LEDCs**.
- Its purpose is to:
  - Promote economic development
  - Improve standards of living
- It does this by encouraging industries that **produce goods or services for export**.

Role of Government

- Government invests in:
  - The industry itself
  - Infrastructure needed to support exports

📌 **Key idea:** Export-led development tries to grow the economy by selling more goods and services to other countries.

9. South African Examples of Export-Led Development

Examples of industries supported by the South African government:

Food

- Citrus fruits such as **Outspan**
- Maize
- Wine

Fuel

- **Sasol petroleum**
- Ethanol, often made from sugar

📌 **Key idea:** Government support can help industries produce goods that can be sold internationally.

⚠️ 10. Why Some People Oppose Globalisation

LEDCs May Lose Economic Control

- LEDCs can become exposed to external economic forces that they have little control over.

Reduced National Independence

- Domestic governments may find it more difficult to manage their economies independently.

Taxation Problems

- Governments may find it harder to collect corporation tax.
- Multinational companies may move elsewhere if taxes are considered too high.

Developed Economies May Benefit More

- Developed economies may be better positioned to benefit from free trade.

Exploitation of Resources

- Resources in LEDCs may be exploited.

Labour Exploitation

- Workers in LEDCs may experience:
  - Long working hours
  - Low wages
  - Child labour

Environmental Problems

- Globalisation may contribute to pollution and other environmental problems in LEDCs.

Profits May Leave the Country

- Profits from goods produced in LEDCs may be sent back to the country where the multinational company is based.

📌 **Key idea:** Opposition often focuses on inequality, exploitation and the loss of economic control.

📈 11. How Developing Economies May Benefit

Developing economies may benefit through:

- **Foreign direct investment**
- Increased benefits from **trade**
- **Technology transfer**
- Increased ratio of trade to GDP
- Increased **capital flows** between countries
- Increased trade in goods and services
- **Job creation**
- Improved **standards of living**

📌 **Key idea:** Globalisation can support development when investment, trade, technology and employment opportunities reach developing economies.

🧠 12. Final Exam Summary

- Globalisation means increased **social and economic connections between countries**.
- It is driven by:
  - Better transport
  - Better communication
  - Reduced trade barriers
- The **global village** means the world seems smaller because ideas, cultures and resources can be shared easily.
- **Economic integration** allows freer movement of goods and services.
- **MNCs** are powerful companies that operate internationally and are mainly based in MEDCs.
- Globalisation can bring:
  - Economic growth
  - Technology
  - Investment
  - Education opportunities
  - Wider consumer choice
- It can also cause:
  - Inequality
  - Job losses
  - Labour exploitation
  - Environmental damage
  - Dependency
  - Loss of sovereignty
- **Export-led development** encourages industries to produce goods and services for export.
- South African examples include:
  - Citrus
  - Maize
  - Wine
  - Sasol petroleum
  - Ethanol

📌 **Core idea: Globalisation increases connections between countries, but its benefits and disadvantages are not shared equally.**

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